

“The retail equity revolution is a huge economic event”

Motilal Oswal Financial Services Group Chairman and Co-founder Raamdeo Agrawal on how the markets have evolved and the way ahead for digital firms

PHOTOS BY MANDAR DEODHAR

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Raamdeo Agrawal, Group Chairman and Co-founder of Motilal Oswal Financial Services, is a veteran of the stock markets who has seen many a cycle in his long career. The author of an annual wealth report—which he has been passionately spearheading each year for nearly three decades—the 66-year-old believes that even though this is an election year, the political overhang on the markets has diminished. In an interaction with *Business Today's* Ashish Rukhaiyar, Agrawal says that this is a fascinating time for investors to be in the stock markets because volatility has gone down as domestic investors, including retail, are providing huge support to the markets even as foreign investors have turned net sellers again in the current calendar year. Edited excerpts:

Q: How do you view the political overhang on the markets since we are in an election year? The state election results a few months ago did give an indication that the BJP is in a strong position...

A: The political overhang has diminished. While you cannot eliminate the uncertainty till the results are out, people have seen the trailer. The view one gets is that there is hardly any opposition.... [But] let's not forget that... political parties will put in their best efforts for the General Elections. If you do a region-specific analysis, the view one gets is that the [Narendra] Modi government is acceptable in the North belt. What one has to wait and watch is what happens in southern India. Can they [the BJP] get a few seats from the South through [their] allies? Whatever they get from there will be a clear bonus for them.

Q: But how is the stock market looking at it? We keep hearing views that the BJP coming back to power is already priced in.

A: It is already priced in. But if the current government does not come back to power, then there will be a huge fall. There wouldn't be any big gain if they come back to power. I would say around 80-90% of the expectation is already priced in. The probability of the BJP not coming back to power is very low. But even if the market falls, in a year's time it will bounce back. The momentum is there due to stable policies.

Q: How do you see volatility going ahead? Foreign investors have turned net sellers in the current calendar year till date, though domestic investors have become a strong counterforce...